

# ABC Company

## Engagement Models & Onboarding Guide

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# 1. Overview & Model Comparison

Choosing the right engagement model is one of the most consequential decisions a client makes at the start of a software project. The model determines how risk is distributed, how much budget flexibility exists, how closely the client is involved in day-to-day delivery, and how the team composition scales over time. ABC Company offers four engagement models — Fixed Price, Time & Materials (T&M), Dedicated Team, and Hybrid — each designed for a distinct set of project characteristics and client preferences. No single model is universally superior; the optimal choice depends on the clarity of the requirements, the expected pace of change, the engagement duration, and the degree of control the client wishes to exercise over delivery priorities.

This document describes each model in detail, presents a side-by-side comparison to assist with selection, and then walks through the full lifecycle of an ABC Company engagement: initial onboarding, the communication framework that governs day-to-day collaboration, the contractual protections covering confidentiality and intellectual property, and the structured offboarding and knowledge-transfer process that ensures a clean handover when an engagement concludes. Whether you are evaluating ABC Company for the first time or looking to restructure an existing engagement, this guide provides the information needed to make an informed commercial decision.

| Aspect             | Fixed Price                 | Time & Materials              | Dedicated Team        | Hybrid            |
|--------------------|-----------------------------|-------------------------------|-----------------------|-------------------|
| Best for           | Clear, stable scope         | Evolving scope                | Long-term product dev | Mixed workstreams |
| Pricing            | Fixed total                 | Hourly                        | Monthly retainer      | Mixed             |
| Scope flexibility  | Low (change requests)       | High                          | High                  | Medium            |
| Client involvement | Milestone reviews           | Weekly                        | Daily                 | Varies            |
| Risk bearer        | ABC (estimation risk)       | Client (scope risk)           | Shared                | Shared            |
| Minimum engagement | 2 weeks                     | 1 month                       | 3 months              | 2 months          |
| Billing            | Milestone-based             | Monthly actuals               | Monthly retainer      | Mixed             |
| Best team size     | 1–4                         | 1–6                           | 3–12                  | 2–8               |
| Typical projects   | MVPs, well-defined features | R&D, exploration, maintenance | Platform development  | Feature + support |

## Fixed Price

The Fixed Price model is the right choice when the project scope is fully understood, the requirements are documented, and the client needs a guaranteed total cost before committing budget. It works best for regulatory or compliance projects where the specification is driven by an external standard, for well-scoped MVP builds where the feature set has been validated in a discovery phase, and for engagements responding to an RFP where a fixed commercial commitment is a procurement requirement. Clients who choose this model should expect to invest time upfront in refining requirements documentation and should anticipate that scope changes will be handled through a formal Change Request process.

## **Time & Materials (T&M)**

The Time & Materials model is designed for engagements where the scope is expected to evolve — either because the product direction is still being validated, because maintenance work arrives unpredictably, or because the client is running a research and development workstream with outcomes that are inherently uncertain. Under T&M the client pays for actual hours worked at agreed rates, which means priorities can shift sprint to sprint without triggering a contract amendment. T&M is the most flexible model and the one most commonly used by startups in the early stages of building their product.

## **Dedicated Team**

The Dedicated Team model provides a named group of engineers who work exclusively on the client's product on a monthly retainer basis. It is the preferred model for mature products that need sustained, high-velocity engineering over six months or more, and for companies that want to scale their engineering capacity without the overhead of direct employment. The client manages the backlog and sets priorities directly; ABC Company handles all operational concerns including HR, infrastructure, tooling, and professional development.

## **Hybrid**

The Hybrid model blends two or more of the above models under a coordinated commercial structure. A common configuration pairs a Dedicated Team for ongoing product development with one or more Fixed Price engagements for discrete, well-specified feature modules. Another common pattern uses T&M during an exploratory discovery phase and then transitions to Fixed Price for the development phase once the scope has stabilised. ABC Company structures Hybrid engagements with separate Statements of Work for each component, a single project management contact, and unified sprint ceremonies so that the two workstreams remain coordinated.

## 2. Fixed Price Model

### At a Glance

Best for clear, stable scope — ABC absorbs estimation risk — Milestone-based billing — Formal Change Request process for scope changes

Under the Fixed Price model, ABC Company and the client agree on a complete scope of work before development begins. This scope is documented in a Statement of Work (SOW) that specifies the features to be delivered, the acceptance criteria for each feature, the project timeline, and the total fixed price. Once the SOW is signed, the price is locked — if ABC Company underestimates the effort required, the company absorbs the additional cost. This arrangement places the estimation risk with ABC Company and gives the client full budget certainty from the outset. To manage this risk responsibly, ABC Company requires a paid discovery phase for projects with significant complexity, during which requirements are analysed, the architecture is outlined, and all acceptance criteria are written before a fixed price is quoted.

The payment schedule for Fixed Price engagements follows a three-stage structure: 30% of the total project fee is due upon contract signing and serves as a mobilisation payment that covers discovery, environment setup, and initial planning; 40% is due at an agreed midpoint milestone, typically the completion of the core feature set or a demonstrable working prototype; and the final 30% is due on delivery and formal acceptance by the client. The acceptance process includes a User Acceptance Testing (UAT) period of typically two weeks during which the client validates the delivered work against the SOW acceptance criteria. Defects identified during UAT are remediated at no additional cost before the final payment is triggered.

Scope changes are handled through a formal Change Request (CR) process. If the client requests a modification that falls outside the original SOW — whether adding a feature, changing the design direction, or altering the data model — the client submits a written change request describing the desired change. ABC Company then provides an impact assessment within 48 business hours, detailing the additional cost, the timeline extension, and any implications for existing features. The client then either approves the CR, which triggers a SOW amendment and additional payment terms, or withdraws the request. Work on the original scope continues uninterrupted during the CR evaluation period unless both parties agree to pause.

The Fixed Price model is most effective for regulatory and compliance-driven projects where external standards define the requirements, for RFP responses where a commercial commitment is a procurement prerequisite, for budget-constrained engagements where the total spend must be known in advance, and for straightforward, well-understood projects such as a landing page build, a standard mobile application with a defined feature list, or an integration against a documented third-party API. It is less appropriate for R&D or innovation work where the outputs are uncertain, for projects where requirements are expected to evolve materially during development, or for ongoing product development where the backlog is continuously refined.

### 3. Time & Materials (T&M) Model

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#### At a Glance

Best for evolving scope — Client absorbs scope risk — Monthly billing on actuals — Optional monthly hour caps

Under the Time & Materials model, the client pays for the actual hours worked by the assigned team members at the agreed hourly rates, which are specified in the service agreement and locked for the duration of the engagement. There is no fixed scope — the client controls the backlog and can reprioritise, add, or remove work items from sprint to sprint without any contract amendment. This flexibility makes T&M the most responsive model for clients whose product requirements are still being discovered, for maintenance and support retainers where the nature of incoming work cannot be predicted, and for exploratory R&D phases where the deliverables are defined by outcomes rather than specified features.

Billing under the T&M model is monthly. ABC Company issues invoices at the end of each calendar month itemising the hours worked by each team member, the tasks completed during those hours (linked to the project management board), and the applicable hourly rates. Payment terms are Net-15 from the invoice date. ABC Company provides detailed weekly timesheet reports throughout the month so that clients can track spend in real time rather than receiving a single end-of-month summary. These reports are delivered every Friday and include task-level breakdowns, giving the client full visibility into how time is being allocated across the backlog.

Clients who want to control their monthly spend can set an hourly cap for the engagement. When the team's hours reach 80% of the agreed cap, ABC Company's project manager notifies the client immediately so that priorities can be adjusted or the cap can be revised before the limit is reached. Hours that are not used within a billing period do not roll over to the following month, but they are also not billed — the client pays only for actual hours worked up to the cap. This arrangement protects the client from bill shock while ensuring the team always has clear authorisation to work.

Transparency is a core feature of the T&M model. All work is tracked in a shared project management board — typically Jira or Linear depending on the client's preference — to which the client has real-time read access at all times. ABC Company holds sprint demos every two weeks at which completed work is presented and the next sprint priorities are discussed. Weekly written progress reports summarise what was completed, what is in progress, any blockers, and the current spend against budget. This level of transparency means that a T&M engagement, despite having no fixed scope, is fully auditable and accountable.

The T&M model works best for ongoing feature development, maintenance and support contracts, exploratory phases where the product direction is being validated with real users, and startups with an evolving product roadmap that cannot be committed to a fixed specification months in advance. It is less appropriate when the client requires a guaranteed total cost before internal budget approval, or when procurement rules require a fixed-price commercial commitment.

## 4. Dedicated Team Model

### At a Glance

Best for long-term product development — Named exclusive team — Monthly retainer billing — 3-month minimum engagement

The Dedicated Team model provides the client with a named group of engineers who work exclusively on the client's product for the duration of the contract. Team members are not shared across multiple clients — each person on the team has a single-client focus, which means deep product knowledge accumulates within the team and ramp-up time for new features is minimised. The client pays a monthly retainer per team member at rates agreed in the service contract, and the client manages the team's backlog and day-to-day priorities directly. ABC Company handles all operational responsibilities: recruitment, onboarding, HR management, salary processing, infrastructure, tooling licences, professional development, and performance management.

ABC Company offers three Dedicated Team configurations to suit different scales of engagement. Individual Contributor engagements embed one or two engineers directly into the client's existing team, reporting into the client's own engineering management structure. Pod engagements provide a self-contained unit of three to five engineers plus a team lead, capable of independent sprint delivery with minimal oversight from the client's side. Full Team engagements provide six or more specialists including a Project Manager, QA engineers, and optionally a DevOps engineer, constituting a complete autonomous delivery unit. The right configuration depends on the client's existing internal capabilities and the complexity of the product being built.

Billing for Dedicated Team engagements is a fixed monthly fee per team member, calculated at the agreed per-person rate. Rates are locked for the minimum contract duration of three months and are reviewed at the point of renewal. The monthly retainer is invoiced at the start of each calendar month and is payable in advance on Net-7 terms. This advance billing model enables ABC Company to guarantee resource availability and ensure that team members are not assigned to other clients during the contract period.

Team size can be adjusted with two weeks' written notice in either direction. Clients who need to scale rapidly can access ABC Company's vetted contractor network for surge capacity, with contractors screened to the same technical and professional standards as permanent team members. Contractors added for surge capacity are billed at a separate daily rate specified in the contract's surge capacity schedule.

Client responsibilities under the Dedicated Team model are more significant than under Fixed Price or T&M. The client is expected to maintain a groomed product roadmap, participate actively in sprint planning ceremonies, attend bi-weekly sprint demos, and provide timely feedback on deliverables — typically within two to three business days of delivery. Because the team's sprint velocity depends on clear priorities and rapid feedback cycles, delayed responses from the client side are the most common cause of reduced throughput in Dedicated Team engagements. ABC Company's PM will flag feedback delays proactively.

The Dedicated Team model is best suited to long-term product development engagements of six months or more, to companies that need to scale their engineering organisation without the cost and lead time of direct hiring, and to clients who want to manage sprint priorities directly rather than receiving a managed delivery. It is not suitable for short-term projects of less than three months, for engagements with a very narrow and well-defined scope, or for clients who prefer ABC Company to manage the full delivery without day-to-day client involvement in prioritisation.

## 5. Hybrid Model

### At a Glance

Combines two or more models — Separate SOWs per component — Single PM contact — Unified sprint ceremonies

The Hybrid model allows clients to combine two or more of ABC Company's engagement models within a single coordinated commercial arrangement. This is particularly valuable for clients whose product portfolio contains both ongoing development work and discrete, well-specified feature modules that are better suited to a fixed-price structure. By combining models under a unified project management layer, clients avoid the overhead of managing multiple vendor relationships and benefit from a team that already understands the product context.

A common Hybrid configuration pairs a Dedicated Team handling the core product roadmap with one or more Fixed Price workstreams for specific, externally-driven deliverables. For example, a fintech client might maintain a dedicated product engineering team for ongoing feature development while commissioning a separate fixed-price engagement for a specific regulatory compliance module required by an upcoming audit deadline. The two workstreams share infrastructure, code reviews, and CI/CD pipelines, but billing and scope management are handled independently under their respective commercial structures.

Another common Hybrid pattern uses T&M during an initial discovery and exploration phase — typically four to eight weeks — to validate requirements, produce an architecture design, and write detailed acceptance criteria. Once the scope is stable, the engagement transitions to a Fixed Price contract for the main development phase. After delivery and acceptance, the client may then transition to a Dedicated Team or T&M retainer for ongoing maintenance and feature development. This pattern combines budget certainty for the largest spend phase with the flexibility of T&M at the start and end of the engagement lifecycle.

ABC Company structures Hybrid contracts with separate Statements of Work for each component, ensuring that the scope, pricing, and billing terms for each model are independently documented. A single named Project Manager serves as the client's point of contact across all components, consolidating sprint reporting and ensuring that the two workstreams remain coordinated. Sprint ceremonies are unified where practical, so that Fixed Price feature delivery and Dedicated Team sprint work are reviewed in the same demo session and dependencies between workstreams are identified and managed proactively.



## 6. Onboarding Process

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Every ABC Company engagement follows a structured four-week onboarding process designed to move the team from contract signing to productive sprint delivery as efficiently as possible. The process is standardised across all engagement models, with minor adaptations depending on whether the client is starting a new product from scratch or embedding the team into an existing codebase and workflow. The phases below describe the standard onboarding timeline; specific activities within each phase are agreed with the client during the kickoff meeting and documented in the project's onboarding checklist.

### Week 1: Kickoff & Access Setup

- Contract signing and NDA execution — all team members sign individual NDAs in addition to the corporate agreement.
- Kickoff meeting: introductions, project goals, communication preferences, and tool selections confirmed.
- Access provisioning: code repositories (GitHub or Bitbucket), project management tools (Jira or Linear), Slack channels, staging environments, and cloud consoles where applicable.
- Initial requirements review: the backlog is seeded with epics and high-level user stories derived from the SOW or product brief.
- Design system and brand guidelines review: the team familiarises itself with any existing design tokens, UI component libraries, or brand standards that will govern the product.

### Week 2: Sprint Planning & Architecture

- Sprint 0 planning: high-level epics are broken down into sized user stories ready for Sprint 1.
- Architecture review session: database schema, API contract definitions, third-party integration points, and deployment pipeline design are reviewed and approved by the client's technical lead.
- CI/CD pipeline setup: automated build, test, and deployment pipelines are configured for the staging environment.
- Development environment configuration: all team members confirm local development environments are operational and all dependencies are documented in the repository.
- First code commits: repository structure, boilerplate, infrastructure-as-code configurations, and any scaffolding for the chosen framework are committed to the main branch.

### Weeks 3–4: First Sprint & Delivery

- Sprint 1 begins: the first prioritised features move from the backlog into active development.
- Daily standups commence — format (async written or synchronous video call) is set according to the client's preference and the team's timezone distribution.
- First demo held at the end of Week 4: completed Sprint 1 features are presented in a working staging environment.
- Feedback incorporation process established: the client's review and approval workflow is documented and agreed upon before Sprint 2 planning.
- Retrospective conducted at the end of Sprint 1 to identify process improvements; sprint velocity baseline is established for planning future sprints.

## 7. Communication Framework

Effective communication is the foundation of a successful remote engagement. ABC Company defines a structured communication framework for every engagement that specifies the channels, frequency, purpose, and participants for each type of interaction. This framework is reviewed with the client during the Week 1 kickoff meeting and adjusted to reflect the client's preferences and timezone constraints.

| Channel            | Frequency             | Purpose                                     | Participants       |
|--------------------|-----------------------|---------------------------------------------|--------------------|
| Slack (async)      | Daily                 | Quick questions, status updates, blockers   | All team members   |
| Daily Standup      | Daily (15 min)        | Progress, blockers, plans for the day       | Dev team + PM      |
| Sprint Planning    | Bi-weekly (1–2 hrs)   | Prioritise and size next sprint backlog     | PM + Lead + Client |
| Sprint Demo        | Bi-weekly (30–45 min) | Show completed work in staging environment  | Full team + Client |
| Retrospective      | Bi-weekly (30 min)    | Process improvement, team health            | Dev team + PM      |
| Weekly Report      | Weekly (written)      | Progress summary, risks, metrics, spend     | PM → Client        |
| Steering Committee | Monthly (1 hr)        | Strategic alignment, budget review, roadmap | Leadership         |

ABC Company operates an async-first communication philosophy. This means that the default communication channel for day-to-day questions, status updates, and non-urgent blockers is Slack — specifically the dedicated project channel where both the client and all team members are present. Async communication respects timezone differences, creates a searchable written record of decisions, and reduces the number of synchronous meetings required. Synchronous meetings are reserved for ceremonies that genuinely benefit from real-time discussion: sprint planning, sprint demos, and the monthly steering committee.

ABC Company's teams operate across multiple timezones — primarily Asia/Colombo (UTC+5:30), Europe/London (UTC+0 or UTC+1), and Australia/Melbourne (UTC+10 or UTC+11). For clients outside these zones, ABC Company will adjust ceremony scheduling to overlap with the client's core business hours. Where there is no timezone overlap suitable for synchronous meetings, sprint demos can be delivered as recorded video walkthroughs with a written commentary, and planning sessions can be conducted via asynchronous collaborative planning tools.

All sprint demos and steering committee meetings are recorded by default with the client's consent. Recordings are stored in the project's shared drive and linked from the relevant sprint report. This ensures that stakeholders who could not attend synchronously can review the session at their convenience, and that there is a permanent record of decisions made during planning and review sessions.

## 8. NDA & Intellectual Property

|                        |                                                                   |
|------------------------|-------------------------------------------------------------------|
| NDA Type               | Mutual, binding on both parties and all individual team members   |
| Confidentiality Period | 12 months post-engagement                                         |
| IP Ownership           | 100% client-owned, work-for-hire from day one                     |
| Pre-existing IP        | Disclosed upfront; royalty-free project licence granted to client |

ABC Company requires that a Mutual Non-Disclosure Agreement be signed by both parties before any confidential information is shared. The NDA is mutual — it protects the client's business and technical information, and also protects ABC Company's internal methodologies, pricing, and proprietary tooling. The confidentiality obligation survives the termination of the engagement for a period of twelve months, covering all project artifacts, business data, technical architecture details, client lists, and any other information designated as confidential at the time of disclosure. All ABC Company team members working on a client engagement sign individual NDAs in addition to the corporate agreement, ensuring that the obligation is binding at both the entity and individual level.

All work produced by ABC Company under a client engagement is work-for-hire. The client owns 100% of the intellectual property from the moment it is created — this includes source code, compiled artifacts, database schemas, API specifications, design files, documentation, test suites, infrastructure configurations, and all other deliverables. ABC Company retains no rights to the work product, does not retain copies beyond what is necessary for the operation of the engagement, and does not use client code or data to train internal models or improve internal tooling. IP ownership is confirmed in writing in the service agreement and does not require any additional assignment or transfer documentation after project completion.

ABC Company may incorporate pre-existing internal tools, open-source libraries, or proprietary frameworks into the deliverables during development. These pre-existing components remain the property of their respective owners but are licensed to the client for unlimited, royalty-free use within the scope of the project. All pre-existing components used in a client engagement are disclosed in the technical architecture documentation before development begins. For open-source components, licence compatibility with the client's intended use is verified during the architecture review phase.

ABC Company may wish to reference a completed client engagement in its marketing materials — for example, listing the client's name in a case study, describing the industry and high-level nature of the project on the company website, or citing the engagement in a proposal to a prospective client. Unless the client explicitly opts out in writing, ABC Company treats this as permitted under the service agreement. No confidential details, technical specifics, business metrics, or financial terms are ever shared in marketing materials. Clients who prefer complete anonymity may opt out entirely, in which case the engagement is referenced only internally.

## 9. Offboarding & Knowledge Transfer

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When an engagement concludes, ABC Company follows a structured four-week transition process to ensure that the client's team is fully equipped to own, operate, and extend the system independently. This process is initiated by mutual agreement at least four weeks before the planned engagement end date. For Dedicated Team engagements with a rolling monthly contract, the offboarding process begins upon receipt of written notice to conclude the engagement.

### Week 1: Documentation Audit

ABC Company's technical lead conducts a full audit of all project documentation. This includes architecture decision records, database schema documentation, API reference documentation, deployment runbooks, operational procedures, and all README files within the repository. Any gaps identified during the audit are assigned to team members as documentation tasks and completed before the audit period concludes. The goal is to ensure that a competent engineer who has never seen the codebase can understand the system's design, set up a development environment, and deploy a change to production by following the written documentation alone.

### Week 2: Knowledge Transfer Sessions

ABC Company's lead engineers conduct a series of recorded video walkthroughs covering the major components of the system. These sessions include a high-level system architecture overview, a walkthrough of the data model and key database interactions, a tour of the CI/CD pipeline and deployment process, a review of the operational monitoring and alerting setup, and a summary of known technical debt items and planned architectural improvements that were not completed during the engagement. All recordings are uploaded to the project's shared drive and indexed in the project wiki. Where the client's team has specific technical questions, live Q&A sessions are scheduled during this week.

### Week 3: Gradual Handover

During Week 3, the client's team takes over primary development responsibility while the ABC Company team transitions to a supporting role. The client's engineers are assigned sprint tickets from the active backlog and are expected to complete them with guidance from the ABC Company team rather than with direct code contribution. This shadowing approach allows the client's team to encounter real problems in the codebase while still having subject-matter experts available to answer questions. ABC Company engineers participate in code reviews as reviewers rather than as primary authors, ensuring that the client's team builds confidence before the formal handover date.

## Week 4: Final Handover

In the final week, all access credentials, service account keys, and environment configurations are transferred to the client. ABC Company removes its own access from all client systems within 48 hours of the handover date and provides a written confirmation of access removal. A final code review is conducted to confirm that no temporary code, debug outputs, or unfinished branches are present in the main branch. A formal handover completion checklist is signed by both parties, confirming that all deliverables have been transferred, all documentation is complete, and all access revocations have been executed.

## Post-Handover Support & Source Code Delivery

Following the four-week transition period, ABC Company provides a 30-day post-handover support window at no additional cost. During this period, the client may raise questions about any aspect of the system — architecture decisions, deployment procedures, configuration details, or code behaviour — and ABC Company engineers will respond within one business day. This support window covers answers and guidance only; it does not include code changes, bug fixes, or new feature work unless a new engagement is agreed. The intent is to give the client's team a safety net while they build operational confidence in the system.

Source code delivery is handled through the project's version control system. The client receives full access to the complete repository history, including all branches, tags, and commit messages. CI/CD configuration files, infrastructure-as-code definitions, and all environment variable templates (with sensitive values encrypted or replaced with placeholders documented in the handover package) are included in the repository. A dependency audit document listing all direct and transitive dependencies, their current versions, and any known vulnerabilities identified during the engagement is included in the handover package. Where the client prefers to receive deliverables as an archive rather than maintaining a shared repository, ABC Company provides a full repository export in the client's preferred format.